

Corruption in Sierra Leone: The Blood Diamond Conflict

Part I: The Problem

The blood diamond conflict in Sierra Leone stems from an ongoing cycle of corruption, further perpetuating and fueling continued patterns of corrupt practices across the country. The result has been economic stagnation, pervasive violence, high poverty rates and high inequalities across Sierra Leone. Sierra Leone's average rating of perceived corruption is a 4.1/5 (5 representing highly corrupt), as well as a corruption perception index of 30/100 (0 being corrupt) (Our World in Data, 2021). Additionally, the most corrupt institutions in Sierra Leone are the police force, the judicial system, and legislature with a bribery prevalence with public officials at 52% (Our World in Data, 2021). The Human Development Index ranks Sierra Leone as one of the poorest countries in the world, with systems of economic extraction as a prevalent problem across the country. Blood diamonds refer to diamonds used to fuel conflict, and the term is still used across Sierra Leone to refer to diamonds that are involved in the illicit diamond trade. Sierra Leone is a victim of the 'resource curse' which is a paradoxical situation in which a country is home to abundant valuable natural resources, but their country underperforms economically (Roland, 2016). Despite Sierra Leone being a resource-rich country with plentiful diamond mines, their economy remains in shambles. Swallowed by debt and enormous inequality, Sierra Leone's economic development is stunted by corruption that informs every interaction both formally and informally. While many debates have argued that corruption has a potential for economic growth because of its efficient outcomes, this has not been the case in Sierra Leone as corruption incited a brutal civil war between 1991 and 2002 that destroyed their economic infrastructure. Corruption weakens formal institutions that are in place now, and the blood diamond conflict is the most prominent demonstration of how corruption occurs in Sierra Leone. Corruption occurring in the resource sector deflect funds away from public infrastructure that are foundational to economic development; the nature of corruption involved in the blood diamond trade misappropriated profits obtained through the exploitation of diamond sales, depriving institutions of financial resources that could be allocated to avenues such as healthcare, education, social welfare, employment creation and public infrastructure. Additionally, corruption deters foreign investment because of the associated unpredictability that accompanies a country's economy enveloped in corruption (Chêne, 2010).

Conflict diamonds in Sierra Leone were initially mined by British colonies, then by rebel groups during the civil war, and are now mined by transnational corporations that profit from Sierra Leone's low export taxes. Privatization after the civil war has resulted in enormous wealth disparities, with public servants, business officials and diamond mine owners profiting massively from the illicit diamond trade; they reap substantial profits from the diamond trade, which enable freely mined diamond extraction at minimal expenses by paying local miners significantly low wages due to their low skill level, and then selling the

Table 1: Development of the Corruption Index in Sierra Leone 2003 – 2021

Year	Sierra Leone Corruption Ranking	Africa's Average	Global Average
2021	66	67.9	56.8
2020	67	67.5	56.7
2019	67	67.6	56.8
2018	70	67.5	56.9
2017	70	67.9	56.9
2016	70	68.5	57.1
2015	71	67.7	57.5
2014	69	67.4	56.8
2013	70	67.9	57.4
2012	69	66.7	56.8
2011	75	70.7	59.7
2010	76	71.1	59.9
2009	78	71.3	59.7
2008	81	71.4	59.8
2007	79	71.5	60.1
2006	78	71.5	59.1
2005	76	71.4	59.1
2004	77	70.8	58.3
2003	78	71.3	57.6

Source: (<https://www.worlddata.info/africa/sierra-leone/corruption.php>).

diamonds at exorbitant prices through informal markets or smuggling routes to avoid taxation (Mahony, 2006). The lack of effective institutions in Sierra Leone contain huge weaknesses that allow for the continuance of corrupt diamond mining in Sierra Leone, thus perpetuating cycles of corruption. This corruption results in massive inequalities for workers who are exploited through desperation, low wages and debt bondages, simultaneously putting tremendous profits directly in public servants' pockets. Social and cultural norms in Sierra Leone perceive corruption as both the easiest way to make wealth in Sierra Leone, as well as customary procedure for everyday dealings. Corruption is Sierra Leone's largest obstacle to achieving economic development, and prevents the development of effective institutions, equality, poverty reduction and growth.

Part II: Evolution of the problem

Conflict over diamond exploitation in Sierra Leone extends deep into history, and is rooted in early colonization in which Sierra Leone lacked control over its own resources. In the early 15th century, Muslim traders arrived in Sierra Leone and occupied the land until Portuguese voyagers arrived roughly 500 years later (Britannica, 2023). Sierra Leone remained a European trading hub until Britain gained control during the Transatlantic Slave Trade, in which they remained control over the region throughout the abolition of slavery, assuming ownership over the region as African borders were divided in 1896, thus resulting in Sierra Leone being governed by the British government (Britannica, 2023). Britain occupied the region until the proceedings of the second World War when the Sierra Leone People's Party demanded independence, which they gained on April 27th, 1961 amidst larger African decolonization movements (Britannica, 2023). In 1930, a British geologist uncovered diamonds in eastern Sierra Leone which sparked Britain's seizure of the region's diamonds, and by 1937, British mining companies were unearthing roughly one million carats annually which they exported, retaining the entirety of the profits (Yumeen, 2020); by the mid 1950s, foreign trade in Sierra Leone had increased from roughly \$14 million in 1914 to roughly \$101 million, but with foreign-owned mining companies, less than half of this revenue ended up in Sierra Leone, and adverse effects of the development of the mining industry were felt across the country (Britannica, 2023). Lack of local employment opportunities forced farmers to transition into diamond mining while exacerbating social, political and economic problems as the fertile diamond regions were conceded to European companies (Britannica, 2023). The diamond seizure by British companies continued until Sierra Leone's independence, in which Britain enacted colonial development funds, thus withdrawing investment and infrastructure that resulted in Sierra Leone being poorly equipped for independence, lacking both the financial means and resources necessary for prosperity.

Upon independence in 1961, Milton Margai became the prime minister of Sierra Leone as the leader of the People's Party which he founded alongside Siaka Stevens, who assumed the position of the minister of lands, mines and labour (Britannica, 2023). Siaka Stevens later formed the All People's Congress and as the opposition leader, was elected into office in the 1967 election in which he transformed Sierra Leone into a one-party state, ruled by an oppressive

dictatorship that caused systemic government corruption (Banat, 2002). Under Stevens' rule, Sierra Leone's currency was exceedingly devalued, the country faced numerous food and energy crises, as well as debt and inflation, ultimately resulting in the neglect of citizen's basic needs (Banat, 2002). In 1985, after several coups arising from discontented and enraged citizens seeking better living conditions and transparency, Stevens stepped down and Joseph Momoh was elected as President to serve from 1985 until 1992 (Britannica, 2023); widespread corruption prevailed across Sierra Leone, and originating from Liberia, a group named the Revolutionary United Front (RUF) began inciting violence across Sierra Leone, promoting 'no more slaves, no more masters. Power and wealth to the people' (Momodu, 2017). RUF increased their territory by commandeering diamond mines through the incitement of violence, rape, forced labour, forced conscription and mutilation thus triggering a civil war across Sierra Leone from 1991 until 2002. Diamonds mined and sold from Sierra Leone were used to fund the opposition in the Civil War, earning the title 'Blood Diamonds' for their association with violence, with the pervasively cruel civil war severely weakening the Sierra Leone government, resulting in further corruption and illegal operation (Banat, 2002); this quintessentially exemplifies the internationalization of civil conflicts, as the blood diamond trade integrated foreign actors with a highly local internal conflict.

Since the end of the civil war in 2002, neocolonialist systems of extraction have remained endured Sierra Leone's changing political landscape; desperation across Sierra Leone has entangled the country in IMF conditional loans which have forced Sierra Leone to devalue their currency in order to stimulate domestic business while simultaneously increasing the cost of imports (Yumeen, 2020). Concurrently, the IMF has made recommendations such as lowering public expenditures in order to decrease government debt, with the result being the weakening of institutions and social infrastructure, setting the state for a deluge of illicit diamond trade (Yumeen, 2020). Currently, large-scale foreign actors own diamond mines across Sierra Leone, and with the use of debt bondage, they exploit informal diamond miners, resulting in further bribery, corruption, and economic stagnation across Sierra Leone.

Part III: Institutions

Formal Institutions

In Sierra Leone, corruption is deeply embedded within formal and informal institutions, thus disrupting any undertaken action against corruption from both foreign entities and local citizens. Formal institutions¹, such as the political and legal frameworks in Sierra Leone, have been founded upon corrupt and weak governance since before the Civil War, and as inequalities permeate every sector, access to basic public services and institutions such as health, police, and education are denied. Furthermore, corruption erodes the rule of law by setting a precedent of how conflicts and disputes are settled, illustrating the existence of loopholes within both the legal and political frameworks that allow corrupt

¹ Formal institutions are codified in writing, which are generally more specific than unwritten rules, and can be enforced by official authorities. Typically distinguished between political and legal institutions (Roland, 176, 2016).

actions to go unpunished. The weakening of formal institutions occurring through the blood diamond trade has placed Sierra Leone in a very deeply entrenched position of corruption, with public servants in every sector as well as foreign actors contributing to the perpetuation of consequence evasion. Informal payments are commonplace across Sierra Leone, with the majority of court cases involving some sort of bribery or extortion, as well as red tape across political and legal sectors (Chêne, 2010). Interactions in the existing governance structures involve informal practices and are not regulated according to a formal rule of law, but instead have established a precedent nationwide that facilitates the abuse of power. The endemic roots of corruption within weak institutions and political power imply that institutions aren't sufficiently equipped to mitigate the problem; instead, they exacerbate the issue.

Informal Institutions

Informal institutions in Sierra Leone, which aren't legally codified, have been profoundly influenced by the post-conflict context of the country, which created an extremely poorly educated population, disproportionately high rates of poverty, inadequate distribution of resources and weak governance have resulted in the institutionalization of compliance. Informally, the black market has acted as an enabler of corruption in Sierra Leone, serving as a pathway for illegally traded diamonds to enter foreign markets. The lack of effective institutional mechanisms and high rates of poverty have created a harmful profitable system in which wealth inequality, violence, secrecy, and exploitation flourish. The value of diamond exports from Sierra Leone average only \$1.5 million USD annually, but when measured in real commercial value, the value is closer to roughly \$70 million USD annually (Banat, 2002); conflict or blood diamonds are not accounted for in official production figures, as official institutions profit from the illicit diamond trade and therefore lack any incentive to disclose the discrepancies between diamonds mined and profits returned to Sierra Leone. Corruption in Sierra Leone's institutions facilitates the success of the black market and smuggled diamonds as they benefit from loopholes in the world diamond market, as privatization across the country has set the scene of systemic corruption. Diamonds are notoriously easy to smuggle, as they are highly fungible, with the diamond market being historically insular, self-regulating and lacking transparency, thus acting as a perfect vessel for corruption to ensue (Cook, 2001).

The population beyond the apex of the hierarchy uphold the corrupt system, as the informal institutionalization of compliance has cultivated a populace viewing corruption as inherently normal across their country. A system of forced labour from decades of conflict, lack of access to education, fear and unavailability of employment have created a population that is unequipped to act against corruption; the uninquiring public are so deeply entrenched in systems of oppression, marginalization and exploitation in relation to the diamond sector that desperation and survival instincts eclipse moral judgment and action (Mahoney, 2006). Alluvial diamonds are able to be mined without equipment or investment, implying that an uneducated population is able to extract diamonds easily (Sesay, 2023); hence a population striving for basic living standards become an integral component of the corrupt diamond mining scheme in Sierra Leone, engaging in what is believed to be a mutually-beneficial form of employment, but is actually a form of debt bondage in practice. Informally employed diamond miners enticed through this form of neopatrimonialism are vulnerable to exploitation due to a local custom called a *kassi* fine: an informal penalty that is imposed for infraction of local norms and enforced through social pressure (Sesay, 2023); this necessitates that employees refrain from speaking out due to social norms depicting reporting corruption as unacceptable, being seen as both morally incorrect and a breach of local standards in Sierra Leone. This institutionalization of compliance based on social norms sustains a system

of corruption throughout Sierra Leone, creating barriers for the acceptance of interventions, even by those who are victims of corrupt systems through both formal and informal institutions.

Part IV: Attempted Solutions

Sierra Leone, with the help of the UK and the IMF established the first anti-corruption laws in 2000, along with an Anti-Corruption Commission (ACC) to address the institutionalized forms of corruption across Sierra Leone (Chêne, 2010). The ACC was instituted alongside the Office of Ombudsman with the purpose of investigating alleged maladministration across the country; the ACC failed spectacularly in the first 8 years of its establishment, as Britain withdrew funding after unsatisfactory results that witnessed the head of ACC himself fired in 2005 on suspicion of corruption (Chêne, 2010). The achievements of ACC in the following years revolved solely around satisfying donor requirements - but did not engage with resolving *unofficial* corruption. The ACC has since developed a secure hotline and a compensation scheme to encourage individuals to report corrupt practices, and has found some success, however they require increased authority within the judicial system to effect significant change, and this will likely still prove insufficient to significantly diminish the epidemic of corruption across Sierra Leone, pervasive throughout every sector and way of life.

Actions have been taken to enforce external diamond laws, such as an international ban on blood diamonds, but that process requires expensive and flawed technology: to enact *effective* policing on the illicit diamond trade, there must be laws and international actions taken to ban trade (Cook, 2001). A few options exist regarding the identification of blood diamonds: firstly, physical and geo-chemical identification that correlates similarities on diamonds in order to identify unique features associated with different origins - but the imperfect technology is subject to a high degree of error and is massively expensive (Cook, 2001). Secondly, international laws have attempted tagging diamonds by inscribing the gems with identifiable information, but the process is flawed in that inscriptions can be removed (Cook, 2001). Lastly, attempts have been made to enforce certificate of origin laws which are legally binding chains of warranties detailing importation, but the crucial success lies within effective administrative processes and law enforcement at the point of origin for the diamond (Cook, 2001). Thus, externally policed diamond laws have not achieved success in implementation.

Other proposed and attempted solutions involve the introduction of a certification system that is aligned with the World Trade Organization's (WTO) standards, such as the formation of a Diamond High Council who hold the authority to impose international sanctions on diamond trade. This strategy lacks effectiveness as there aren't established, well-functioning institutions in place in Sierra Leone to monitor and penalize violations, nor are there incentives for public servants to condemn individuals involved in the illicit diamond trade. International institutions attempted imposing trade embargos on Sierra Leone's diamond trade during their civil war, but were largely unsuccessful as rebel groups found alternative avenues to smuggle diamonds out of the region (Chêne, 2010). This strategy's failure can be largely attributed to its inability to address and create institutional change within Sierra Leone, as its success relies on the proper administration of international sanctions.

Lastly, consumers have been called upon to boycott and publicly condemn large diamond companies for participating in corruption and exploitation that occurs in Sierra Leone. Beny Steinmetz, owner of Beny Steinmetz Group Resources (BSGR) is the largest private investor in Sierra Leone, owning Sierra Leone's largest mine: the Koidu mine which is a \$28 million sealed-off diamond deposit, and he's been accused of corruption as he keeps his financial accounts in tax havens in the British Virgin Islands

(Mining Tech, 2023). As a prolific diamond buyer, he sells to suppliers like Tiffany and Co., and with global movements of corporate social responsibility and a call for transparency, consumers are boycotting companies purchasing diamonds from him. Movements such as this are continuing to accelerate in number and impact, as some companies are forced to reconsider diamond procurement strategies in order to deliver transparency and ethical sourcing. In addition, citizens are lobbying elected officials to prevent the increase in nations' voting powers (Yumeen, 2020). This solution is altruistic because actors such as Beny Steinmetz and large transnational corporations' ethical motivations are overshadowed by capitalist frameworks that enable them to profit from the exploitation of diamond suppliers.

V: Conclusion and Proposed Solutions

Corruption in Sierra Leone that is enabled by the blood diamond trade predates most institutions currently functioning in the country, implying that the institutions released upon by the people of Sierra Leone and international organizations are fundamentally corrupt. Tackling corruption in Sierra Leone is exceptionally challenging to address because its pervasive infiltration across all sectors as well as its impact on daily transactions and interactions, spanning from public servants to civilians are defined by corruption. In order for solutions to be effective, they must address the roots of the cycle of corruption, addressing both knowledge formation and social norms, as well as institutions to cultivate a population capable of change. By empowering and embracing local mechanisms as legitimate traditional methods, post-conflict Sierra Leone is capable of changing their trajectory to one of peace, and economic development. Through understanding the core of conflict and corruption in Sierra Leone, it is evident that existing institutions (both formal and informal) contain loopholes that invite corrupt practices to occur, due to the absence of viable alternatives. For example, a lack of employment opportunities incentivize citizens in Sierra Leone to work for diamond mines, and insufficient training, policies and transparency facilitate the privatization of all basic services across the country. The following solutions are proposed to overcome the divide between the services institutions provide and what individuals seek elsewhere.

Firstly, the state system in Sierra Leone must increase its capacity to assume core public functions such as health, education, and other social services. The civil war erupted on the basis of Sierra Leone's incapacity to provide basic social infrastructure to its citizens, and blood diamonds became fuel to find alternative methods to achieve this. By improving their state system, it will incentivize individuals to abandon informal institutions, as economic growth, mobility, and higher living standards will become achievable through ethical means. Only once a more transparent government is in place will there be potential for the policing of the illicit diamond trade, but without the proper infrastructure, corruption will continue across the country. Enforcing democratic functions of Sierra Leone's institutions will be important because presidential regimes hold more executive power, therefore increasing accountability and transparency will establish a new benchmark for elected officials and public servants to follow. In addition, public spending must be increased to achieve the provision of basic social services, thus the budget of Sierra Leone must be reconfigured to accommodate these changes. This solution has a broader scope and is much more complex, but is absolutely crucial for Sierra Leone's long term economic growth and development.

The next proposed solution is that the ACC in Sierra Leone must be given *more* authority and more funding; by devoting more resources to the identification and punishment of corruption, there will be more of a deterrent and societal standard against corruption (Roland, 2016). Because corruption is so deeply embedded within Sierra Leonean culture, they are more permissive of corruption, and so

disentangling culture and corruption is enormously important for change. The compensation scheme setup by the ACC in recent years has had increased success, and therefore consistent public condemnation of corruption is necessary to educate citizens about ethical standards and distinguish between right and wrong. Improving authority held by the ACC would allow for the organization to advocate for the integration of local norms within international rule of law standards to avoid deterrent sociocultural costs that citizens endure upon corrupt interactions. Reconfiguring systems of corruption reporting and processing will continue to incentivize citizens to perceive corruption as wrong, while compensation provides them with an alternative path away from a corrupt livelihood. Additionally, publicly condemning corruption and the uppermost echelons in Sierra Leone will establish a precedent that corruption is unacceptable. The ACC holds the potential to address corruption in Sierra Leone, but they require more funding and authority to create change.

Obstacles to eradicating corruption in Sierra Leone are the persistent challenges of powerful individuals' motives to gain from corrupt practices, coupled with difficulty of combating corruption which is entrenched within the foundational roots of Sierra Leone, making it arduous to effect change in such deeply embedded systems. Policy alterations alone might not suffice in reshaping institutions; a complete overhaul may necessitate entirely new institutional frameworks from which a future free of corruption may be born from. Sierra Leone's debt and misuse of foreign aid has resulted in the consequences being borne by the civilian population. Change is improbable to occur rapidly or without resistance, yet tackling corruption remains pivotal for enhancing economic development in Sierra Leone.

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